

STERLING, MARSH & ASSOCIATES LLP
INTERNAL MEMORANDUM

TO: James Whitmore, Controller
FROM: Robert Cavanaugh, Partner
CC: Eleanor Marsh, Managing Partner
DATE: January 14, 2025
RE: M-2024-0018 - Whitfield Family Trust v. Continental Securities - Post-Settlement Administrator Notice

BACKGROUND

As you know, the Whitfield matter settled December 15 for a gross amount of \$1,800,000. The settlement was administered by a third-party administrator engaged by Continental Securities' insurer. Per the disbursement instructions executed at closing, the administrator wired as follows on the settlement date:

Component	Amount	Wire Reference
Gross settlement	\$1,800,000	
Sterling contingency fee (33%)	\$594,000	SET-WFD-2024-12-15-A
Litigation cost reimbursement	\$45,000	SET-WFD-2024-12-15-B
Net to Whitfield Family Trust	\$1,161,000	SET-WFD-2024-12-15-C

THE ISSUE

I received a notice from the administrator on January 9, 2025 that I want to bring to your attention. A competing claim was filed by a third-party investor against the same 2021 Continental Securities private placement proceeds in late November 2024. The administrator confirmed it did not surface in their pre-disbursement review and the December 15 wires went out without accounting for it.

The administrator has determined that \$90,000 of the gross proceeds should not have been released at closing and must be returned to escrow pending resolution of the competing claimant proceedings, expected in Q1 2025. The administrator's position is that the \$90,000 reduces the effective gross proceeds available for fee calculation purposes. Sterling's fee entitlement is therefore recalculated against the adjusted gross, and the excess disbursed to Sterling represents its return obligation.

The administrator has confirmed that the cost reimbursement wire (SET-WFD-2024-12-15-B) is not subject to recall. The return obligation falls entirely on the disbursement fee.

Item	Amount
Competing claimant holdback - third-party investor assertion against 2021 private placement proceeds	\$90,000
<i>Expected resolution: Q1 2025, subject to outcome of competing claimant proceedings</i>	

I have reviewed the administrator's notice with outside counsel. Their view is that Sterling's return obligation is not in question - the legal basis for the clawback is sound and the engagement letter does not provide a basis to resist it. Outside counsel is working through the timing and mechanics of the return.

During that review, outside counsel also drew my attention to the following provision in the January 9 administrator notice, which I want to make sure is on your radar:

Item	Detail
Provision reference	Section 7.4 - Interest on Excess Disbursements
Grace period	No interest applies if the excess disbursement is returned to the administrator's escrow on or before January 10, 2025
Interest commencement	If not returned by January 10, 2025, interest accrues from December 15, 2024 - the date of original disbursement - on the full balance outstanding
Interest rate	5% per annum, accruing daily
Interest cessation	Date on which the excess disbursement is returned in full to the administrator's escrow account
Payable to	Settlement administrator, on behalf of the escrow account

Based on our internal process, the January 10 deadline was not met. Outside counsel had not yet finalised the mechanics of the return by that date, and the funds were not returned in time.

I am flagging this now so that finance can determine the appropriate treatment for the items mentioned above. The matter file has the January 9 administrator notice, the executed disbursement instructions, and the competing claimant filing.

Robert Cavanaugh

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